Important: Research proposal

From ndatta <ndatta@iitk.ac.in>
To ECO731 <ECO731@iitk.ac.in>
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eco731_public_economics_&_policy_fch_fall2026.pdf (~424 KB)

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Dear all,

Please read this email carefully; it is a little long, but it contains important information regarding the research proposal component of the course which has direct bearing on your final grades (40%).

The first two points are logistical details, the third is more substantive and deals with the content expected in your submissions.

1. You can submit the proposal either individually, or in groups of two/three. By default, I will assume the same groups that were there for the referee report submission.

If anyone wishes to change their group, they should reach out to me directly over email. You can email me until **11:59 PM IST on Monday (October 5)** regarding your group modification requests. Copy your team mate(s) as well.

For example, if person A submitted the referee report individually, that is what I would assume they would do for the research proposal as well, unless I hear from them to the contrary. Similarly, if persons B and C were matched together for the referee report, that is what I would assume the group is for the research proposal. Again, unless I hear otherwise from atleast one person in the group (with the other person copied to the email).

2. The deadline for submission of the research proposal will be **11:59 PM IST on Saturday (November 14)**. This is a hard deadline. Late submissions will be graded according to the policy in the FCH (i.e. each day costs 5 points).

This does not mean you should wait until the last moment to submit, since understandably, there will be other exams scheduled immediately after from November 16 onwards. Consequently, it is a good idea to submit sooner than the deadline. Both the research proposals and the final exams need to be graded before I can upload your final grades for this course, which needs to be done within 3 days of the final exam. The timeline gets quite tight, and this is the maximum I can extend the deadline. It gives you more than one-and-a-half months to work on the proposal.

3. Now, to more important issues related to the content of your proposals. The FCH contains details on what is expected. I have attached a copy to this email.

There is no word limit (so, neither a "minimum" or a "maximium" number of pages etc.). In general, the following three sections are necessary; anything more is welcome.

(i) What is the research question?

This has to be precise enough. Usually for empirical studies it is in the form of "what is the causal effect of x on y?" (as an example from the course material, one of the papers suggested for the referee report studied the effect of changing tax policy/marginal tax rates on taxable income). For theoretical papers the goal could be to ask what the optimal policy might be in a given economic context (as an example from the course material, we studied what the optimal tax rate would be in a multiple good setting). Another class of theoretical questions try to explain some empirical pattern observed in the data (as another example from the course material, we asked and analyzed why there might be a role for the government to provide in-kind transfers, something that is observed in real-world policymaking).

(ii) Why is the question important?

This is usually called motivating the problem. When researchers come up with a question, it usually seems very important to them. However, one of the main challenges is to motivate the problem to others, i.e. explain logically and rationally, why others should care about the issue as well. This can be done in a multitude of ways, including using annecdotes, data, as well as highlighting the real-world policy implications of the question. Previous literature should also be cited mentioning how much existing work has also gone into this. This is a double edged-sword though; while it is important to work on topics that are "hot" (i.e. lots of people are working on it already; say the impact of AI on productivity etc), it is equally important to be innovative and original in the questions we ask.

(iii) How would you answer the question?

Note that this proposal does not expect you to actually answer it. That is, you don't need to run a regression, or solve a model for its equilibrium. What it expects is a logical path that one would follow that could answer the question.

For empirics, this requires highlighting the exact nature of data that would be used, where that data might be obtained from (eg. needs to be bought, or is available on some website, etc), and what variables in that data would capture the economically causal relation you wish to explore. The second requirement (still for empirics) is what variation (in the timing, or intesity of the "policy change", etc) would be exploited to measure the relevant causal effect. This is called the empirical "identification" strategy.

We have had more practice with theoretical questions throughout this course. A proposal would require three things. The first is the economic environment or model setup, which includes the different agents included in the model, their objective functions, and their constraints (if you are analyzing a game, you would need to specify the agents, their payoff functions, and their strategy sets). The second would be the mechanism you have in mind, which will provide the economic intuition for the result you have in mind when studying the question. This is the key component, because a mechanism should be logically sound (i.e. at a bare minimum it should not sound too absurd). The final component would be the methods and steps

you would use to solve the problem. For example, in multiple modules on optimal policy, we first obtained the equilibrium behavior of agents to a given policy, then set up the government's objective function which included citizen's indirect utility functions (which were a function of policy) and maximized this with respect to policy.

You should feel free to either talk to me after lecture, or during office hours if you want further clarifications. I am also happy to discuss your research ideas if you want feedback; please make use of the weekly office hour slots for this (Wednesdays from 4 PM to 5 PM at 428 ESB2).

Best,
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